



FUNERAL ASSURANCE INDUSTRY REPORT

FOR

THE QUARTER-ENDED 31 MARCH 2023



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- ii. This report relates to the funeral assurance business written by Funeral Assurers only and does not relate to the funeral assurance business written by life assurers. The funeral assurance business generated by Life Assurers is reported in the life assurance report.
- iii. Growth referred to in this report is nominal growth unless stated otherwise.
- iv. Please Note: All Monetary Figures are in ZW\$ except where stated.
- v. Income statement figures were adjusted using year-on-year inflation of 87.60% reported for March 2023. Source:
<https://www.rbz.co.zw/index.php/research/markets/inflation>
- vi. Balance sheet figures were not adjusted due to the unavailability of quarterly inflation figures. Therefore, balance sheet figures are compared on a nominal basis.

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Abbreviations

GPW	Gross Premium Written
NPW	Net Premium Written
IPEC	Insurance and Pensions Commission
MCR	Minimum Capital Requirement
PA	Prescribed Assets/Securities as defined by the Insurance Act [Chapter 24:07]
S.I.	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP	Zimbabwe Integrating Capital and Risk Programme

Definition of Terms

Absolute ZW\$ GPW/Business	Business written solely in local currency.
Consolidated ZW\$ GPW/Business	Total business written combining the absolute local currency business and foreign currency denominated business.

SECTION A: EXECUTIVE SUMMARY

1. Executive Summary

- 1.1 For the quarter ended 31 March 2023, the number of registered and operating dedicated funeral assurance companies stood at eight (8).
- 1.2 The nominal consolidated Gross Premium Written by the funeral assurance sector for the quarter under review amounted to ZW\$2.62 billion, an increase of 274.52% from ZW\$0.70 billion recorded for the quarter ended 31 March 2022.
- 1.3 The inflation-adjusted Gross Premium Written increased by 99.64% from ZW\$0.70 billion to ZW\$1.40 billion for the period under review.
- 1.4 The absolute local currency GPW was ZW\$2.17 billion accounting for approximately 82.72% of the consolidated GPW. The remaining 17.28% was for foreign currency business.
- 1.5 For the foreign currency business, the sector recorded a total gross premium amounting to US\$497,298 and ZAR179,104. GPW for United States denominated business increased by 638.28% from US\$67,359 while the South African Rand GPW increased by 4,600.90% from ZAR3,810 recorded during the comparable period in 2022.
- 1.6 As at 31 March 2023, seven (7) out of the eight (8) Funeral Assurers were compliant with the Minimum Capital Requirement (MCR) of ZW\$62.50 million, as prescribed in Statutory Instrument 59 of 2020.
- 1.7 Total assets for the funeral assurance sector increased by 36.93% from ZW\$6.10 billion as at 31 December 2022 to ZW\$8.36 billion as at 31 March 2023. The increase in the asset base was partly due to inflation-driven revaluation gains on asset values.
- 1.8 All Funeral Assurers were non-compliant with the minimum Prescribed Asset requirements as at 31 March 2023 with an average Prescribed Asset ratio of 0.21% against the required ratio of 10%, as stipulated by Statutory Instrument 206 of 2019. The Commission is concerned by the continued non-compliance levels with prescribed asset requirements. All the eight (8) players are yet to develop and submit roadmaps in line with

SI 206 of 2019. The Commission will be escalating measures to cause compliance.

- 1.9 The total amount invested in Prescribed Assets was only ZW\$17.23 million against the required minimum amount of ZW\$835.74 million to comply with the minimum Prescribed Asset threshold of 10%.
- 1.10 Total technical liabilities increased by 3.78% in nominal terms from ZW\$2.57 billion as at 31 December 2022 to ZW\$2.67 billion as at 31 March 2023, with future policyholders' benefits being the major component constituting 99.56%.
- 1.11 Profit before tax increased by 99.80% in nominal terms from ZW\$102.28 million for the quarter ended 31 March 2022 to ZW\$204.35 million during the period under review. After adjusting for inflation, the profit before tax increased by 6.50% from ZW\$102.28 million to ZW\$108.93 million over the same period. The notable increase was due to premium reviews in line with the dynamic macroeconomic environment.
- 1.12 Two (2) players, namely Moonlight and First Funeral dominated the funeral assurance sector in terms of GPW, with a total market share of 82.30%. The remaining six (6) entities accounted for the difference of 17.70%.
- 1.13 None of the eight (8) Funeral Assurers had reinsurance arrangements in place during the period under review.

SECTION B: ABOUT THE COMMISSION

2. Introduction

- 2.1 The Insurance and Pensions Commission (IPEC) is a Statutory Body, mandated with regulating, supervising, and developing the Insurance and Pensions Industry for the protection of policyholders and pension scheme members in Zimbabwe.
- 2.2 This report outlines the funeral assurance sector developments and IPEC's various activities in the sector consistent with its statutory mandate during the quarter ended 31 March 2023.

3. Terms of Reference

The activities of the Commission are guided by the following Acts and their Regulations:

- 3.1 Insurance and Pensions Commission Act [*Chapter 24:21*];
- 3.2 Pension and Provident Funds Act [*Chapter 24:32*];
- 3.3 Insurance Act [*Chapter 24:07*];
- 3.4 Money Laundering and Proceeds of Crime Act [*Chapter 09:24*];
- 3.5 Finance Act [*Chapter 23:04*];
- 3.6 Public Entities and Corporate Governance Act [*Chapter 10:31*];
- 3.7 Public Finance Management Act [*Chapter 22:19*]; and
- 3.8 Public Procurement and Disposal of Public Assets Act [*Chapter 22:23*]

SECTION C: ECONOMIC DEVELOPMENTS

4. Economic Overview

4.1. Global and Regional Economic Outlook - Inflation Peaking Amid Low Growth

- 4.1.1. It is anticipated that global growth will decline from an estimated 3.4 percent in 2022 to 2.9 percent in 2023 before increasing to 3.1 percent in 2024. The prediction for 2023 is 0.2 percentage points higher than that of the World Economic Outlook (WEO) for October 2022, but it is still below the historical average (2000–19) of 3.8 percent. The increase in central bank interest rates to combat inflation and Russia's war in Ukraine continue to have a negative impact on the economy. Growth was slowed in 2022 by the quick spread of COVID-19 in China, but the recent reopening has made it possible for a quicker-than-anticipated comeback. Still higher than pre-pandemic (2017–19) levels, global inflation is predicted to decline from 8.8% in 2022 to 6.6 percent in 2023 and 4.3 percent in 2024.
- 4.1.2. The balance of risks is still heavily skewed to the downside, but since the October 2022 WEO, negative risks have abated. On the other side, it's possible that pent-up demand in certain economies will provide a larger boost or that inflation could decline more quickly. On the other side, China's poor health outcomes could stall the recovery, Russia's conflict in Ukraine could worsen, and tighter global financial conditions could make debt distress even worse. Additionally, financial markets may abruptly reprioritize in response to unfavourable inflation news, and greater geopolitical disintegration may impede economic growth.
- 4.1.3. In most economies, maintaining prolonged deflation is still a top objective despite the crisis in the cost of living. The use of macroprudential instruments and the reinforcement of debt restructuring frameworks are required since tighter monetary conditions and slower development could impair the stability of the financial system and the ability to service debt. Accelerating COVID-19 immunizations in

China would protect the recovery and have beneficial transnational effects. Broad-based fiscal relief measures should be discontinued, and financial assistance should be properly targeted at those who are most impacted by the higher prices of food and energy. To safeguard the benefits of the rules-based global system and to reduce greenhouse gas emissions and increase green investment, stronger multilateral cooperation is required.

Table 1: World Economic Outlook Projections

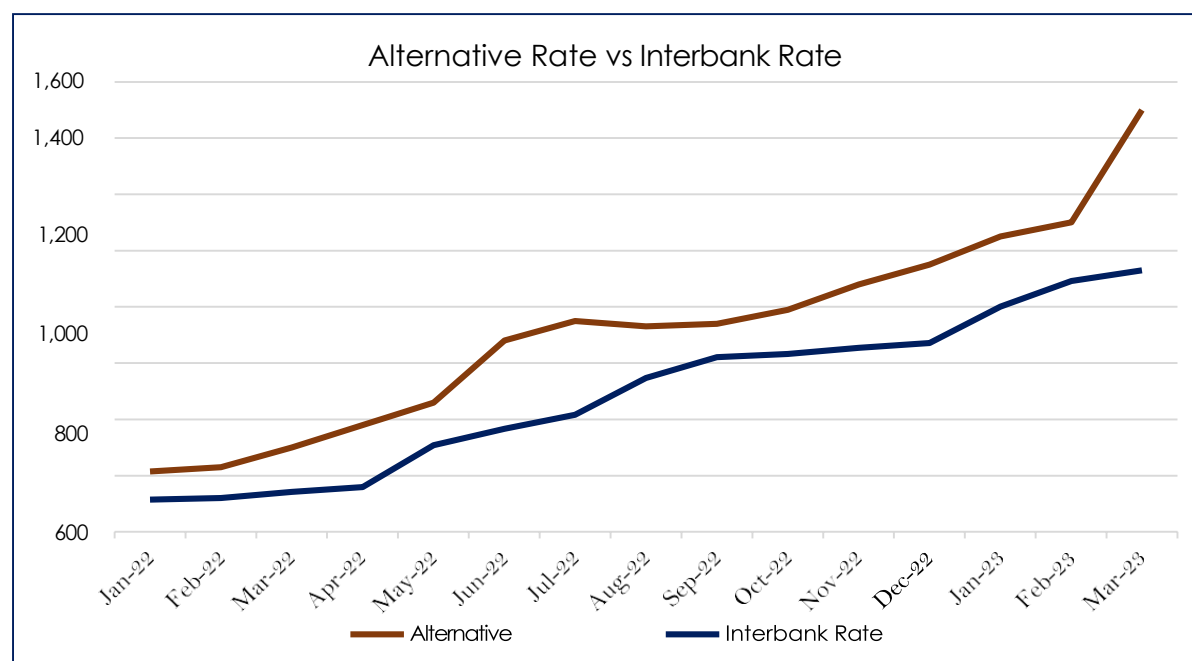
	2022	2023	2024
World Output	3.4	2.9	3.1
Advanced Economies	2.7	1.2	1.4
USA	2.0	1.4	1.0
Euro Area	3.5	0.7	1.6
Emerging Markets and Developing Economies	3.9	4.0	4.2
China	3.0	5.3	4.5
Sub-Saharan Africa	3.8	3.8	4.1
Nigeria	3.0	3.2	2.9
South Africa	2.6	1.2	1.3
Zimbabwe	4.0	3.8	4.8

Source: January 2023 World Economic Outlook Update, IMF Projections

4.2. Domestic Economic Outlook

Domestic GDP growth is projected to slowdown from 4% in 2022 to 3.8% in 2023, sustained primarily by mining, agriculture, and enhanced activity in the manufacturing, wholesale, and retail trade sectors. As a result of the growing dominance of the US\$ in the economy, authorities resolved to measure inflation using a weighted average of goods and services priced in local currency and US\$. The local currency continued to depreciate against the US dollar.

Figure 1: Interbank Exchange Rate vs Alternative Rate March 22 to March 23 (US\$/ZW\$)

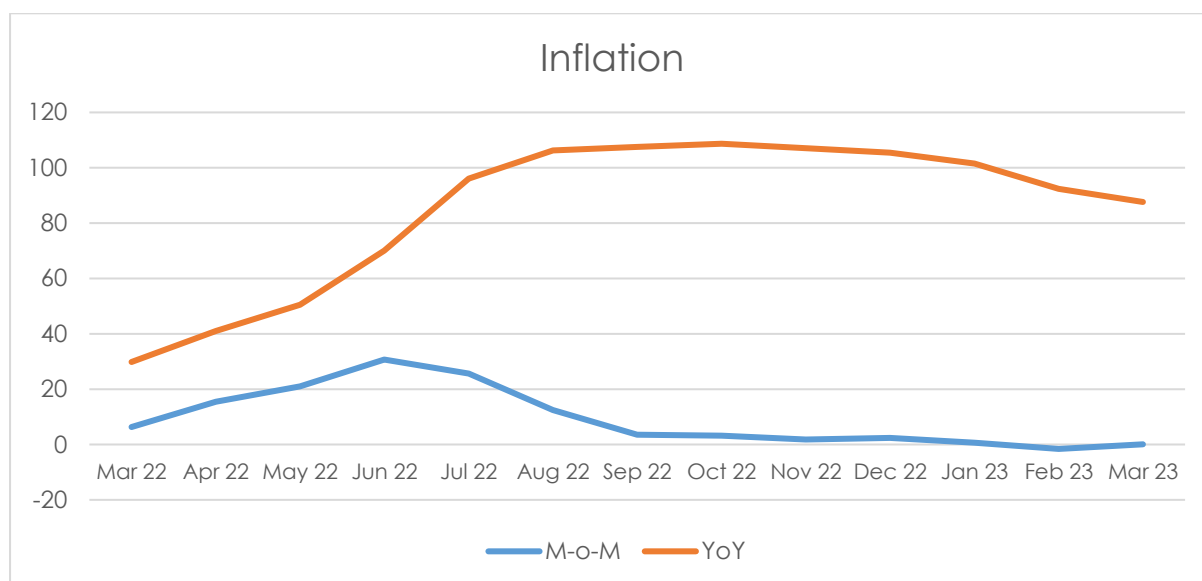


Source: RBZ

4.3. Inflation Developments

Weighted annual inflation decreased from 101.5% in January of this year to 87.6% at the end of the first quarter for both US dollars and ZW dollars. From 0.7% in January to -1.6% in February and 0.1% in March, monthly inflation has slowed. The local currency has declined 58% versus the dollar during the first quarter in the alternative market, despite a reduction in official inflation rates. At the conclusion of the quarter, the alternative market premium had additionally increased to 61%. In 2023, there are significant negative risks associated with both the outcome of inflation and economic development due to the devaluation of the local currency and the expansion of the alternative market premium. The inflation trend from March 2022 to March 2023 is shown in Figure 2 below:

Figure 2: Inflation Profile (%) March 2022 to March 2023

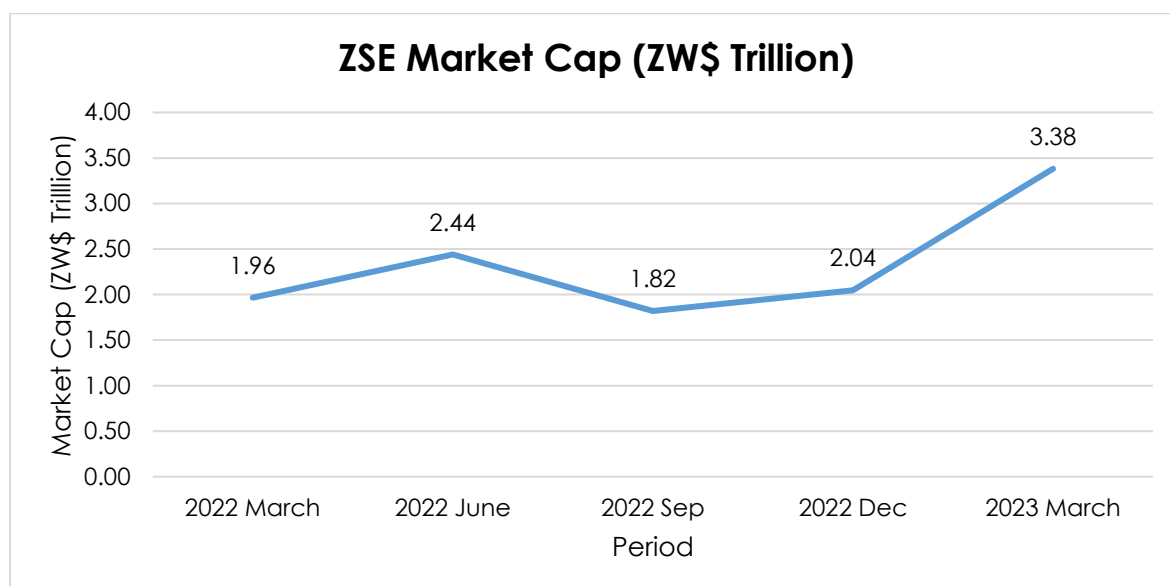


Source: RBZ

4.4. Zimbabwe Stock Exchange Performance

The Zimbabwe Stock Exchange reported better results compared to the prior three months. The Zimbabwe Stock Exchange All Share Index (also known as the "ZSE ALSI") increased 98% year-to-date to 38,568.48 points at the end of March. The Top 10 Index increased 87% thus far this year, ending March at 12,311.13 points. According to Figure 3 below, market capitalization increased 66% during the quarter, rising from ZW\$2.04 trillion to ZW\$3.38 trillion.

Figure 3: ZSE Market Capitalisation Trend



Despite the stock exchange's recovery, leading counters have been delisting more frequently from the local market in favour of the fast-growing Victoria Falls Exchange, which is denominated in US dollars and continues to draw major corporations. However, quality stock transfers from the ZSE to the VFEX rather than new listings could be harmful to the viability of the local currency-denominated exchange.

4.5. Victoria Falls Stock Exchange (VFEX) Performance

As issuers pursue broader funding sources, tax breaks, and brand positioning, the Victoria Falls Exchange keeps gaining traction. To date this year, the market capitalization has increased by 75% to US\$992.88 million. As we move into the upcoming quarter, we anticipate seeing more businesses switch to the VFEX from the ZSE since it provides investors with value protection. There is currently a consistent flow of new postings to the VFEX. African Sun and First Capital Bank have now been added to the list of businesses that will migrate to VFEX. Since all listings on the VFEX to this point have been migrations from the ZSE, West Properties Company was slated to become the exchange's first Initial Public Offering (IPO) in Q2. Challenges with liquidity continue to be a significant disadvantage, severely limiting investor engagement.

SECTION D: PERFORMANCE OF FUNERAL ASSURANCE COMPANIES

5. Performance in terms of Business Written

- 5.1. The funeral assurance sector recorded nominal Consolidated Gross Premium Written of ZW\$2.62 billion for the quarter ended 31 March 2023, an increase of 274.52% from ZW\$0.70 billion reported for the quarter ended 31 March 2022.
- 5.2. After adjusting for inflation, the sector's GPW increased by 99.64% from ZW\$0.70 billion to ZW\$1.40 billion during the period under review.
- 5.3. The absolute local currency GPW was ZW\$2.17 billion, which was approximately 82.72% of the consolidated GPW. The remaining 17.28% was from foreign currency business.
- 5.4. In terms of foreign currency business, the sector recorded gross premium amounting to US\$497,298 and ZAR179,104. United States dollar denominated GPW increased by 638.28% from US\$67,359 while South African rand denominated GPW increased by 4,600.90% from ZAR3,810 recorded in the comparable period in 2022.
- 5.5. For the quarter under review, new business contributed 1.62% of total GPW and the remaining 98.38% was from recurring business. The contribution of new business to the sector's GPW decreased by 1.26 percentage points from 2.88% in the first quarter of 2022 to 1.62% in the first quarter of 2023. The uptake of funeral assurance policies remains low as evidenced by a low contribution of new business to the total GPW.
- 5.6. New business GPW increased by 110.26% from ZW\$20.20 million in the first quarter of 2022 to ZW\$42.46 million in the comparable period in 2023. In addition, recurring business premium increased by 279.40% from ZW\$0.68 billion recorded for the first quarter of 2022 to ZW\$2.58 billion for the current reporting period.
- 5.7. The increase in the consolidated GPW is primarily on account of premium reviews in line with inflation developments.
- 5.8. In nominal terms, all the eight (8) players recorded significant growth rates (above 100%) in GPW.

5.9. The funeral assurance GPW recorded by Life Assurers amounted to ZW\$25.10 billion, which was approximately ten times more than the ZW\$2.62 billion GPW recorded by the dedicated Funeral Assurers.

5.10. A detailed breakdown of the consolidated GPW per funeral assurer in terms of recurring and new business is shown in Appendix 4.

Table 2: Consolidated Gross Premium Written Per Company

Name of Company	March-22	March-23	March-2023 Inflation Adjusted	Change - Inflation Adjusted	Nominal Change
First Funeral	166,792	684,607	364,933	118.80%	310.46%
Foundation	17,425	90,603	48,296	177.16%	419.95%
Moonlight	396,821	1,475,157	786,339	98.16%	271.74%
Orchid	892	1,393	742	-16.78%	56.12%
Passion	61,400	109,096	58,154	-5.29%	77.68%
Ruvimbo	14,072	31,232	16,649	18.31%	121.94%
Sunset	5,645	38,147	20,335	260.25%	575.82%
Vineyard	37,688	194,170	103,503	174.63%	415.20%
Total	700,735	2,624,406	1,398,952	99.64%	274.52%

6. Capitalisation

6.1. As at 31 March 2023, seven (7) out of the eight (8) funeral assurers were compliant with the regulatory Minimum Capital Requirement (MCR) of ZW\$62.50 million as required by Statutory Instrument 59 of 2020.

6.2. Regulatory action is being taken on the non-compliant entity.

6.3. There has been an increase in the average compliance level with the minimum capital requirement from 75% as at 31 March 2022 to 87.50% as at 31 March 2023. The increase was attributed to inflation-driven revaluation gains on the sector's assets.

6.4. All players are required to be fully capitalised at all times. The sector is also required to adequately prepare for the implementation of the new risk-

based capital regime, the Zimbabwe Integrating Capital & Risk Programme (ZICARP). Gazetting of the requisite regulations is work in progress.

- 6.5. To foster resilience of the industry, the Commission is engaging the Ministry of Finance and Economic Development on the draft regulations for United States Dollar indexed Minimum Capital Regulations.
- 6.6. As at 31 March 2023, capital positions for individual funeral assurers ranged from ZW\$5.02 million to ZW\$1.41 billion as shown in Table 3 below.

Table 3: Capitalisation Trend Levels

Name of Company	March-22 (ZW\$000)	March -23 (ZW\$000)
First Funeral	227,826	533,669
Foundation	73,903	1,405,034
Moonlight	1,738,395	622,021
Orchid	5,188	5,022
Passion *	30,064	162,251
Ruvimbo	97,238	435,202
Sunset	99,860	96,186
Vineyard	192,120	483,879
Total	2,464,594	3,743,265

*Passion is undergoing a merger.

Key

	Capitalised
	Undercapitalised

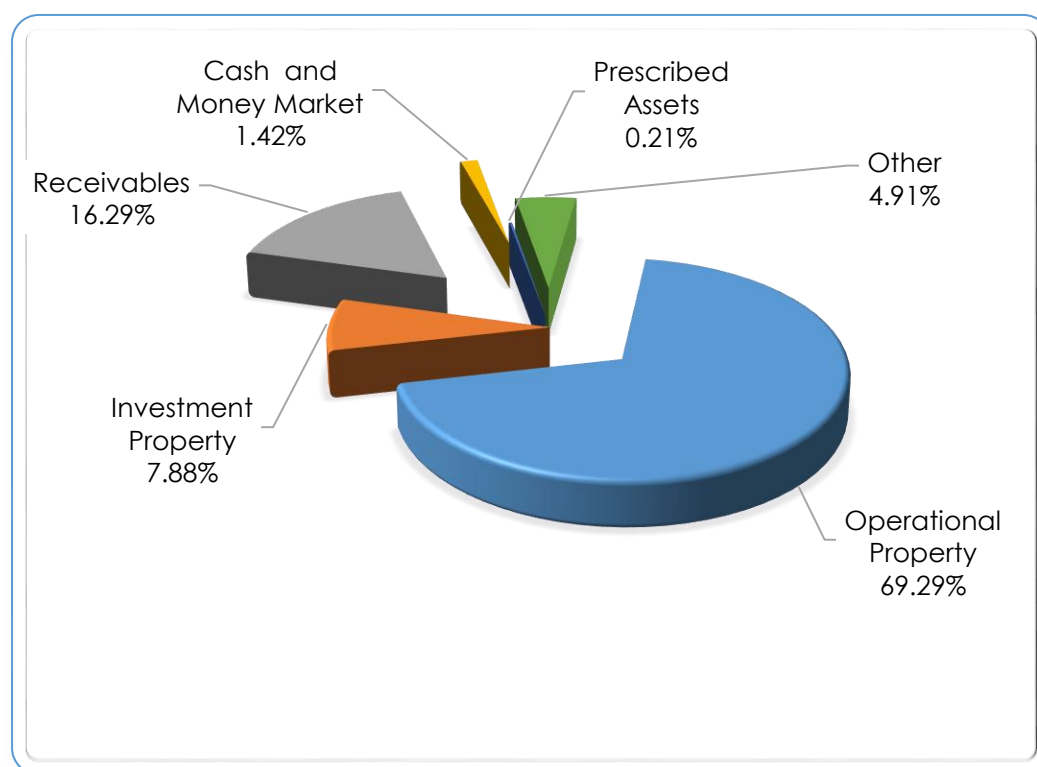
7. Asset Quality

- 7.1. Total assets for the funeral assurance sector increased by 36.93% from ZW\$6.10 billion as at 31 December 2022 to ZW\$8.36 billion as at 31 March 2023.
- 7.2. The asset base for the sector remained highly concentrated in operational properties, which constituted 69.29% of the total assets as at 31 March 2023. The concentration in operational properties mainly arose

from the need by the sector to invest in assets used for funeral service provision.

- 7.3. The Commission calls for prudent investment practices by funeral assurers, considering the need to continuously hold assets that match their liability profiles.
- 7.4. The sector continues to hold investments in equities, cash, and money market instruments in very small proportions relative to the overall asset portfolio.
- 7.5. The Commission also reminds all funeral underwriters of the need to uphold the choice of the policyholder at the claim stage, on whether to be paid cash or to be provided with funeral services as enshrined under section 58(3)(a) of the Insurance Act [Chapter 24:07] and the Funeral Model Directive.
- 7.6. Furthermore, funeral assurance players are required to always adhere to the requirement of section 29 of the Insurance Act [Chapter 24:07] by making sure that Policyholders' and Shareholders' assets are kept separately.
- 7.7. The distribution of assets for the funeral assurance sector is shown in Figure 4 below.

Figure 4: Breakdown of Assets as at 31 March 2023



- 7.8. As at 31 March 2023, all Funeral Assurers were non-compliant with the minimum Prescribed Asset ratio of 10%, as stipulated by Statutory Instrument 206 of 2019. Prescribed asset investments were very low as they accounted for an average of only 0.21% of the total sector asset portfolio.
- 7.9. The Commission is concerned by the continued non-compliance levels with prescribed asset requirements. All the eight (8) players are yet to develop and submit roadmaps in line with SI 206 of 2019. The Commission will be escalating measures to cause compliance.
- 7.10. The total amount invested in prescribed assets was only ZW\$17.23 million against an expected minimum amount of ZW\$835.74 million, for the sector to comply with the 10% minimum prescribed asset threshold.
- 7.11. With the introduction of Gold Coins, which have been accorded Prescribed Asset status, the Commission expects compliance ratios to improve.
- 7.12. The Commission also continues to recommend the development of sector-specific projects that speak to the sector's needs, for possible

conferment of Prescribed Asset status as this will go a long way in enhancing compliance.

7.13. Table 4 below shows the compliance levels with Prescribed Assets for each funeral assurance player.

Table 4: Prescribed Assets (PA) Levels as at 31 March 2023

Company name	PA Investments (ZW\$000)	Total Assets (ZW\$000)	PA Ratio	Amount required to be compliant (ZW\$000)	Variance in compliance
Orchid	-	10,779	0.00%	1,078	10.00%
First Funeral	-	745,522	0.00%	74,552	10.00%
Foundation	-	1,670,625	0.00%	167,063	10.00%
Moonlight	16,750	4,376,701	0.38%	437,670	9.62%
Passion	-	224,703	0.00%	22,470	10.00%
Ruvimbo	227	477,377	0.05%	47,738	9.95%
Sunset	-	107,702	0.00%	10,770	10.00%
Vineyard	250	743,988	0.03%	74,399	9.97%
Total	17,226	8,357,396	0.21%	835,740	9.79%

Table 5 below shows the key performance indicators for the funeral assurance sector.

Table 5: Key Performance Indicators

Key Performance Indicator	March-22	March-23	Change	March-23 Inflation Adjusted	Change - Inflation Adjusted
Consolidated GPW (ZW\$000)	700,735	2,624,406	274.52%	1,398,952	99.64%
Total Gross Claims (ZW\$000)	147,173	449,716	205.57%	239,723	62.89%
Operating and Administration Expenses (ZW\$000)	233,977	1,024,380	337.81%	546,050	133.38%
Commissions (ZW\$000)	46,263	202,919	338.62%	108,167	133.81%
Total Costs (ZW\$000)	427,413	1,677,014	292.36%	893,940	109.15%
Profit Before Tax (ZW\$000)	102,280	204,352	99.80%	108,931	6.50%
Ratio Analysis	March-22	March-23	Change		
Commission Ratio	6.60%	7.73%	17.08%		
Expense Ratio	33.39%	39.03%	16.89%		
Claims Ratio	21.00%	17.59%	-16.25%		
Combined Ratio	60.99%	64.35%	5.50%		
	December-22	March-23	Change		
Total Assets (ZW\$000)	6,103,319	8,357,396	36.93%		
Total Liabilities (ZW\$000)	3,843,906	4,614,131	20.04%		
Current Assets (ZW\$000)	1,408,258	1,885,181	33.87%		
Current Liabilities (ZW\$000)	1,266,338	1,937,514	53.00%		
Capital (Net Assets-ZW\$000)	2,259,413	3,743,265	65.67%		
Capital to Liability Ratio	58.78%	81.13%	38.02%		
Prescribed Assets (ZW\$000)	4,467	17,226	285.61%		
Prescribed Asset Ratio	0.07%	0.21%	181.60%		

8. Reassurance

8.1. None of the eight (8) Funeral Assurers had reinsurance arrangements in place for the quarter ended 31 March 2023.

- 8.2. The Commission is concerned by the continued lack of reinsurance arrangements in the sector despite several commitments by the funeral assurance players.
- 8.3. The sector is urged to consider reinsurance as a prudent risk management practice in the event of catastrophes.

9. Technical Section

- 9.1. Total technical liabilities for the funeral assurance sector increased by 3.78% in nominal terms from ZW\$2.57 billion as at 31 December 2022 to ZW\$2.67 billion as at 31 March 2023. Future policyholders' benefits continue to be the major component, constituting 99.56% of the technical liabilities, while unearned premium, gross outstanding claims and incurred but not reported claims reserves accounted for a smaller portion of 0.44%.
- 9.2. The increase shows that funeral assurance companies are increasing their reserves in line with the increase in the values of promised benefits.
- 9.3. Notwithstanding this, Funeral Assurers should approach reserving with prudence and the determination of their reserves should be actuarially driven to ensure that they are reflective of the various risks they are exposed to.
- 9.4. The Commission notes that the development of the Zimbabwean Mortality Tables, which is currently underway, will improve reserving and product pricing by the sector.

10. Earnings

- 10.1. For the quarter under review, five (5) Funeral Assurers reported positive profits before interest and tax, while three (3) players reported losses.
- 10.2. The funeral assurance sector reported a nominal increase of 99.80% in profit before interest and tax from ZW\$102.28 million for the quarter ended 31 March 2022 to ZW\$204.35 million for the quarter ended 31 March 2023.

- 10.3. The increase in profit before interest and tax was on account of a notable increase in nominal GPW, as players reviewed premiums in line with the prevailing inflationary macroeconomic environment.
- 10.4. The funeral assurance sector's average gross expense ratio increased from 39.99% for the quarter ended 31 March 2022 to 46.76% for the quarter ended 31 March 2023. This implies that for every dollar worth of premium received, 46.76 cents were spent on commissions, operational and management expenses.
- 10.5. It is important for all sector players to continuously monitor their expenses so that they are sustainable.
- 10.6. The average claims ratio and combined ratio stood at 17.59% and 64.35% respectively for the current reporting period. The average claims ratio decreased from 21% and the combined ratio increased from 60.99% recorded in the comparative period in 2022.
- 10.7. A summary of the claims incurred, operating expenses, commissions, and total costs for each funeral assurer for the first quarter of 2023, is shown in Appendix A5.

11. Liquidity

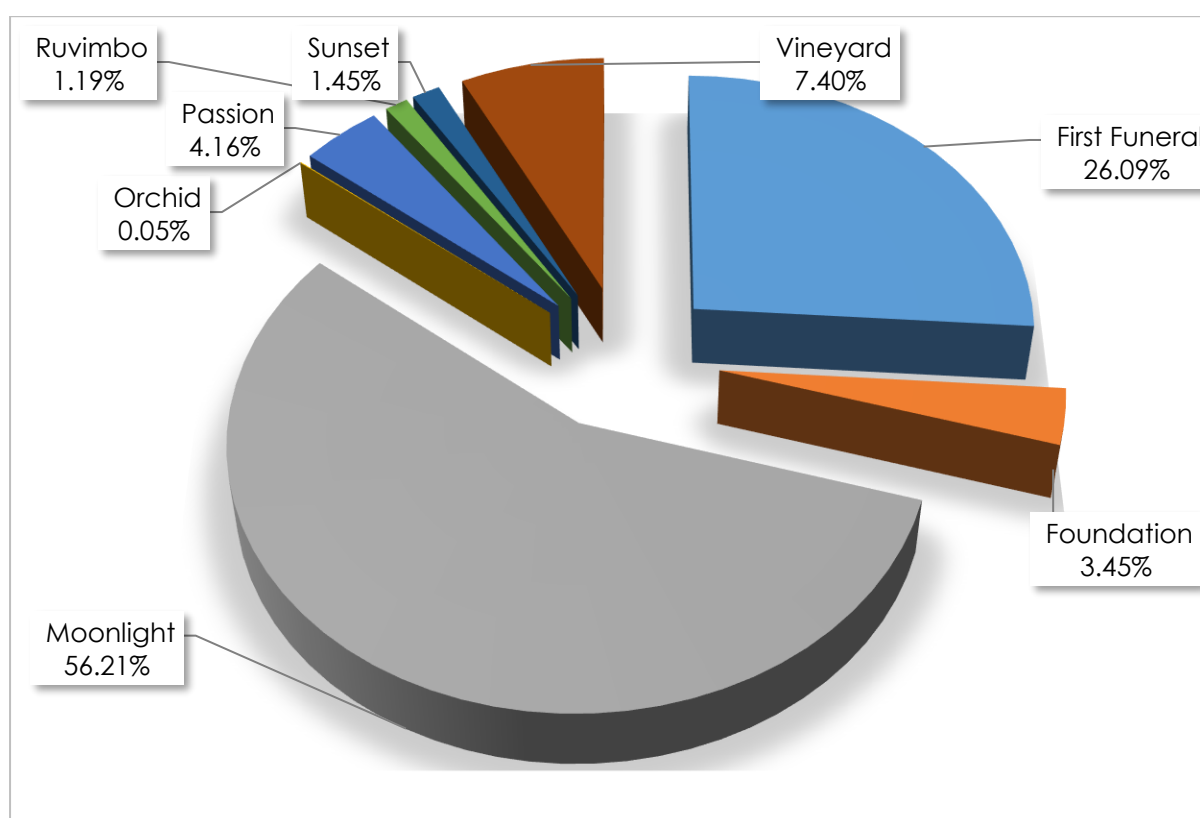
- 11.1. The funeral assurance sector reported an average current ratio of 97.30%, indicating insufficient current assets to cover short-term contractual obligations and other current liabilities.
- 11.2. The Commission continues to urge the Funeral Assurers to endeavor to match their asset profiles with their liability profiles in terms of maturity and timing.
- 11.3. Asset-liability mismatch may result in players encountering liquidity problems.
- 11.4. Funeral Assurers are encouraged to hold adequate and appropriate short-term assets that can easily be liquidated to meet statutory short-term debts, operational expenses, and claim obligations.

12. Market Share

12.1. For the quarter ended 31 March 2023, two (2) players, namely Moonlight and First Funeral, dominated the funeral assurance sector in terms of consolidated GPW, with a total market share of 82.30%. The remaining six (6) funeral assurers accounted for the 17.70% difference.

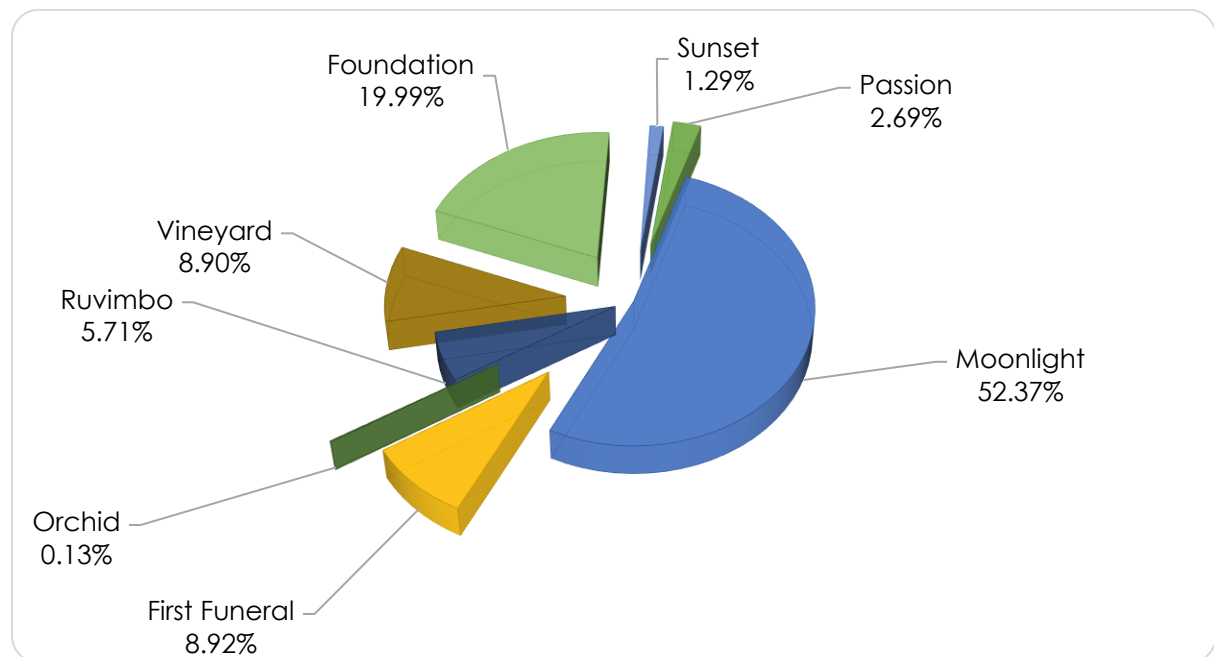
12.2. The distribution of the market share in terms of consolidated GPW for the eight (8) Funeral Assurers is shown in Figure 5 below.

Figure 5: Market Share in Terms of Consolidated GPW for the Quarter Ended 31 March 2023



12.3. In terms of assets, two (2) players, namely Moonlight and Foundation dominated the funeral assurance sector with a total market share of 72.36%, whilst the remaining six (6) players constituted the remaining 27.64% as at 31 March 2023. This is shown in Figure 6 below.

Figure 6: Market Share in Terms of Assets as at 31 March 2023



SECTION E: REGULATORY DEVELOPMENTS

13. Regulatory Developments for the Quarter ended 31 March 2023

13.1. Circulars

The Commission issued the following three (3) Circulars to the Insurance Industry during the first quarter of 2023 as shown in Table 6 below.

Table 6: Circulars Issued in 2023

Circular	Date of Issue	Purpose
Circular 3 of 2023	15/02/2023	Request for information on registered agents
Circular 9 of 2023	09/03/2023	Quarterly returns additional reporting requirements – submission of a US\$ return, absolute ZW\$ return and a combination of the two returns denominated in ZW\$.
Circular 11 of 2023	16/03/2023	Guideline for Regulation of Offshore Investments

13.2. IFRS 17

13.2.1 The funeral assurance players are expected to have started implementing the IFRS 17 Standard effective 1 January 2023.

13.2.2 Players should deploy the required resources to ensure that their financial statements are compliant with IFRS 17, starting from the first reporting date.

SECTION F: COMPLAINTS HANDLING AND CONCLUSION

14. Funeral Assurance sector Complaints

- 14.1. For the quarter ended 31 March 2023, the Commission received one (1) funeral assurance-related complaint. This complaint was still outstanding at the end of the quarter.
- 14.2. The complaint was due to the unsatisfactory service offered by the funeral assurer in question.

15. Conclusion

- 15.1. The funeral assurance sector players should always be compliant with all applicable laws and regulations, particularly the Minimum Capital Requirements and Prescribed Asset ratios.
- 15.2. The sector is urged to revisit its Business Model to align with the recently published Funeral Model Directive to ensure compliance and ward off increased competition from the Life Assurance sector.
- 15.3. The Commission also urges sector players to offer relevant products that address the needs of the insuring public.
- 15.4. Funeral Assurers should also have in place reinsurance arrangements as a Risk Management Tool to manage loss experiences.
- 15.5. The Commission underscores the importance of the timeous settlement of all valid claims.

SECTION G: APPENDIX

APPENDIX A1. KEY PERFORMANCE INDICATORS FOR FUNERAL ASSURANCE COMPANIES									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Key Performance Indicator									
Capital Adequacy									
Capital Position i.e Net Assets (ZW\$000)	5,022	533,669	1,405,034	622,021	162,251	435,202	96,186	483,879	3,743,265
Capital Coverage Ratio (CCR)	8.04%	853.87%	2248.05%	995.23%	259.60%	696.32%	153.90%	774.21%	748.65%
Equity/Total Assets Ratio	46.59%	71.58%	84.10%	14.21%	72.21%	91.17%	89.31%	65.04%	44.79%
Solvency Margin	87.23%	299.13%	629.77%	28.30%	N/A	N/A	8050.54%	753.49%	140.14%
Asset Quality									
Total Assets (ZW\$000)	10,779	745,522	1,670,625	4,376,701	224,703	477,377	107,702	743,988	8,357,396
Investments to Total Assets	27.83%	53.90%	7.68%	0.38%	0.58%	4.50%	89.77%	1.41%	8.14%
Non-Interest Generating Assets/Total Assets	72.04%	38.42%	91.98%	98.95%	92.52%	95.37%	8.58%	97.77%	90.48%
Fixed Assets/Total Assets	67.77%	20.47%	87.20%	72.16%	0.00%	93.11%	4.27%	76.19%	69.29%
Prescribed Assets Ratio	0.00%	0.00%	0.00%	0.38%	0.00%	0.05%	0.00%	0.03%	0.21%
Premium Debtors/Gross Premium	5.01%	18.67%	7.43%	75.92%	0.51%	21.84%	6.54%	49.94%	51.87%
Premium Debtors/Total Assets	0.65%	17.14%	0.40%	25.59%	0.25%	1.43%	2.32%	13.03%	16.29%
Reinsurance									
Risk Retention Ratio	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
Technical Section									
UPR (ZW\$000)	67	0	0	0	0	0	1,195	0	1,261
Gross Outstanding Claims (ZW\$000)	0	3,750	0	6,630	0	0	0	0	10,380
Future Policyholder Benefits (ZW\$000)	5,690	174,656	223,103	2,191,689	0	0	0	64,218	2,659,356
Total Assets/Total Reserves	187.23%	417.88%	748.81%	199.09%	N/A	N/A	9014.35%	1158.53%	312.89%
Earnings									
Profit After Tax (ZW\$000)	-643	22,072	4,515	16,612	44,619	-7,107	-2,409	43,144	120,802
Return on Equity	-12.81%	4.14%	0.32%	2.67%	27.50%	-1.63%	-2.50%	8.92%	3.23%
Return on Assets	-5.97%	2.96%	0.27%	0.38%	19.86%	-1.49%	-2.24%	5.80%	1.45%
Loss(Claims) Ratio	8.30%	22.57%	6.44%	13.66%	35.00%	29.07%	9.18%	26.80%	17.59%
Net Commission Ratio	0.00%	23.49%	8.28%	1.23%	0.00%	0.00%	18.49%	4.82%	7.73%
Net Expense Ratio	137.88%	44.34%	84.74%	40.96%	0.00%	103.44%	2.68%	2.34%	39.03%
Combined Ratio	146.18%	90.40%	99.46%	55.86%	35.00%	132.51%	30.34%	33.95%	64.35%
Liquidity									
Current ratio	N/A	571.20%	201.19%	77.21%	357.69%	19.85%	48.60%	87.61%	97.30%
Liquid assets as a percentage of total assets	27.96%	7.68%	0.34%	0.67%	6.89%	0.12%	1.65%	0.82%	1.42%
Market Shares									
Market Share Based on GPW	0.05%	26.09%	3.45%	56.21%	4.16%	1.19%	1.45%	7.40%	100.00%
Market Share Based on NPW	0.05%	26.09%	3.45%	56.21%	4.16%	1.19%	1.45%	7.40%	100.00%
Market Share Based on Total Assets	0.13%	8.92%	19.99%	52.37%	2.69%	5.71%	1.29%	8.90%	100.00%

APPENDIX A2. STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE QUARTER ENDED 31 MAR 2023 (ZWS000)									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Gross Written Premiums	1,393	684,607	90,603	1,475,157	109,096	31,232	38,147	194,170	2,624,406
Reinsurance Premiums	0	0	0	0	0	0	0	0	0
Net Written Premiums	1,393	684,607	90,603	1,475,157	109,096	31,232	38,147	194,170	2,624,406
Increase/(Decrease) in UPR	0	67,052	0	0	0	0	0	0	67,052
Net Earned Premiums	1,393	617,555	90,603	1,475,157	109,096	31,232	38,147	194,170	2,557,354
Provision for Future Claims	0	0	0	0	0	0	0	0	0
Outstanding claims	0	0	0	6,630	0	0	0	0	6,630
Paid Claims	116	139,395	5,832	194,948	38,184	9,079	3,501	52,031	443,086
Net Claims	116	139,395	5,832	201,578	38,184	9,079	3,501	52,031	449,716
Net Commissions and Fees	0	160,807	7,500	18,208	0	0	7,053	9,351	202,919
Technical Result	1,277	317,353	77,271	1,255,371	70,913	22,153	27,593	132,788	1,904,720
Operating/Administration Expenses	1,920	303,522	76,777	604,289	0	32,306	1,021	4,545	1,024,380
Underwriting Profit/(Loss)	-643	13,831	494	651,083	70,913	-10,152	26,572	128,243	880,340
Management expenses	0	0	0	541,747	4,477	0	23,625	75,666	645,514
Investment Income	0	8,240	3,640	739	0	0	315	0	12,934
Unrealised Gains/Losses	0	0	0	0	0	0	0	0	0
Other expenses	0	0	0	21,974	21,819	0	8,742	0	52,535
Other Income	0	0	531	0	2	0	4,359	4,235	9,128
Profit Before Interest and Tax	-643	22,072	4,665	88,101	44,619	-10,152	-1,121	56,812	204,352
Taxation	0	0	150	0	0	-3,046	1,289	692	-915
Interest Payments	0	0	0	71,489	0	0	-1	12,976	
Profit After Tax and Interest	-643	22,072	4,515	16,612	44,619	-7,107	-2,409	43,144	120,802
Other Comprehensive income	0	0	0	0	0	0	0	0	0
Transfer to policyholders funds	0	0	8,967		0	0	0	0	8,967
Retained Income	-643	22,072	-4,453	16,612	44,619	-7,107	-2,409	43,144	111,835

APPENDIX A3. STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 31 MAR 2023 (ZWS000)									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
ASSETS									
Non-Current Assets									
Property and Equipment	7,305	152,612	1,456,829	3,158,255	1	444,508	4,594	566,812	5,790,916
Investment Property	0	401,815	128,313	0	640	21,265	96,680	9,840	658,554
Investments in Securities	0	40	0	0	673	0	2	388	1,103
Intercompany Investments	0	0	0	0	0	0	0	0	0
Prescribed Assets	0	0	0	16,750	0	227	0	250	17,226
Other Non-Current Assets	0	0	0	0	4	3,003	1,410	0	4,417
Total Non-Current Assets	7,305	554,467	1,585,142	3,175,005	1,318	469,003	102,686	577,290	6,472,216
Technical Assets									
Reinsurers' Share of O/S Claims	0	0	0	0	0	0	0	0	0
Deferred Acquisition Cost (DAC)	0	0	0	0	0	0	0	0	0
Total Technical Assets	0	0	0	0	0	0	0	0	0
Current Assets									
Cash & cash equivalents	14	57,238	5,605	29,227	15,484	595	1,779	6,100	116,043
Short Term Investments	3,000	17	0	0	0	0	0	0	3,016
Prescribed Assets	0	0	0	0	0	0	0	0	0
Inventory and Other Assets	391	6,000	73,150	52,583	207,344	957	740	63,630	404,795
Accounts Receivables	70	127,801	6,728	1,119,886	557	6,822	2,496	96,967	1,361,327
Total Liquid Assets	3,014	57,255	5,605	29,227	15,484	595	1,779	6,100	119,059
Total Assets	10,779	745,522	1,670,625	4,376,701	224,703	477,377	107,702	743,988	8,357,396
Liabilities									
Deferred Tax Liabilities	0	0	0	753,688	-100	0	0	132,931	886,518
Future policyholders benefits	5,690	174,656	223,103	2,191,689	0	0	0	64,218	2,659,356
Short term loans	0	0	0	103,071	0	0	0	0	103,071
Long term Loans	0	0	0	0	0	0	0	5,620	5,620
Current Tax provisions	0	0	0	0	0	524	0	0	524
Gross Outstanding Claims	0	3,750	0	6,630	0	0	0	0	10,380
IBNR	0	0	0	0	0	0	0	0	0
UPR	67	0	0	0	0	0	1,195	0	1,261
Creditors	0	33,448	42,488	143,371	0	40,480	6,736	31,628	298,150
Amount due to related companies	0	0	0	0	0	0	0	0	0
Other Liabilities	0	0	0	556,232	62,552	1,171	3,584	25,712	649,251
Total Technical Liabilities/Reserves	5,757	178,406	223,103	2,198,319	0	0	1,195	64,218	2,670,997
Current Liabilities	0	33,448	42,488	1,556,361	62,452	42,175	10,321	190,270	1,937,514
Total Liabilities	5,757	211,854	265,591	3,754,680	62,452	42,175	11,515	260,108	4,614,131
Shareholders's Equity									
Share Capital	14	411	0	1,500	2,000	930	352	211	5,419
Share Premium	1,334	1,610	0	0	0	0	0	978	3,922
Revaluation & Other Reserves	5,901	462,720	1,555,388	2,382,014	0	410,636	102,516	427,322	5,346,497
Retained Profit	-2,227	68,928	-150,353	-1,761,492	160,251	23,636	-6,682	55,368	-1,612,572
Shareholders's Equity	5,022	533,669	1,405,034	622,021	162,251	435,202	96,186	483,879	3,743,265
TOTAL EQUITY & LIABILITIES	10,779	745,522	1,670,625	4,376,701	224,703	477,377	107,702	743,988	8,357,396

APPENDIX A4 GROSS WRITTEN PREMIUMS BREAKDOWN AS AT 31 MAR 2023																	
Name of Company	Individual Life (ZWS\$000)						Corporate Business (ZWS\$000)						Total Gross Premiums (ZWS\$000)				
	New Business			Recurring Premiums			New Business			Recurring Premiums							
	Mar-22	Mar-23	Change	Mar-22	Mar-23	Change	Mar-22	Mar-23	Change	Mar-22	Mar-23	Change	Mar-22	Mar-23	Change	Mar-2023 Inflation Adjusted	Change - Inflation Adjusted
First Funeral	31	0	-100.00%	68,004	216,992	219.09%	0	0	N/A	98,756	467,616	373.51%	166,792	684,607	310.46%	364,933	118.80%
Foundation	148	1,384	835.89%	17,277	89,219	416.40%	0	0	N/A	0	0	N/A	17,425	90,603	419.95%	48,296	177.16%
Moonlight	8,890	15,121	70.08%	387,931	1,460,036	276.37%	0	0	N/A	0	0	N/A	396,821	1,475,157	271.74%	786,339	98.16%
Orchid	0	0	N/A	63	932	1385.37%	0	0	N/A	829	461	-44.42%	892	1,393	56.12%	742	-16.78%
Passion	0	0	N/A	8,464	17,949	112.07%	557	0	-100.00%	52,379	91,148	74.02%	61,400	109,096	77.68%	58,154	-5.29%
Ruvimbo	4,222	2,759	-34.66%	9,851	28,474	189.06%	0	0	N/A	0	0	N/A	14,072	31,232	121.94%	16,649	18.31%
Sunset	494	1,874	279.28%	4,750	33,147	597.80%	0	162	N/A	400	2,964	640.41%	5,645	38,147	575.82%	20,335	260.25%
Vineyard	364	4,660	1181.62%	9,013	24,465	171.44%	5,490	16,504	200.62%	22,821	148,540	550.89%	37,688	194,170	415.20%	103,503	174.63%
Total	14,149	25,797	82.33%	505,353	1,871,214	270.28%	6,047	16,667	175.60%	175,186	710,729	305.70%	700,735	2,624,406	274.52%	1,398,952	99.64%

APPENDIX A5 COST AND EARNINGS ANALYSIS FOR THE FUNERAL ASSURANCE INDUSTRY AS AT 31 MAR 2023																		
Co. Name	NPW (ZWS\$000)			Claims (ZWS\$000)			Commissions(ZWS\$000)			Management Expenses (ZWS\$000)			Total Costs(ZWS\$000)			Combined Ratio		
	Mar-22	Mar-23	Change	Mar-22	Mar-23	Change	Mar-22	Mar-23	Change	Mar-22	Mar-23	Change	Mar-22	Mar-23	Change	Mar-22	Mar-23	Change
First Funeral	166,792	684,607	310.46%	50,424	139,395	176.44%	37,967	160,807	323.55%	62,942	303,522	382.22%	151,333	603,724	298.94%	90.73%	90.40%	-0.37%
Foundation	17,425	90,603	419.95%	1,135	5,832	413.81%	1,415	7,500	429.96%	17,381	76,777	341.73%	19,931	90,109	352.10%	114.38%	99.46%	-13.05%
Moonlight	396,821	1,475,157	271.74%	62,096	201,578	224.62%	5,100	18,208	256.99%	139,874	604,289	332.02%	207,070	824,074	297.97%	52.18%	55.86%	7.05%
Orchid	892	1,393	56.12%	34	116	243.48%	7	0	-100.00%	698	1,920	175.22%	738	2,036	175.86%	82.73%	146.18%	76.70%
Passion	61,400	109,096	77.68%	21,490	38,184	77.68%	0	0	N/A	0	0	N/A	21,490	38,184	77.68%	35.00%	35.00%	0.00%
Ruvimbo	14,072	31,232	121.94%	1,863	9,079	387.45%	0	0	N/A	9,304	32,306	247.23%	11,166	41,385	270.62%	79.35%	132.51%	66.99%
Sunset	5,645	38,147	575.82%	544	3,501	544.03%	332	7,053	203.40%	729	1,021	40.03%	1,605	11,575	621.28%	28.43%	30.34%	6.73%
Vineyard	37,688	194,170	415.20%	9,587	52,031	442.71%	1,442	9,351	548.37%	3,049	4,545	49.07%	14,079	65,927	368.28%	37.36%	33.95%	-9.11%
Total	700,735	2,624,406	274.52%	147,173	449,716	205.57%	46,263	202,919	338.62%	233,977	1,024,380	337.81%	427,413	1,677,014	292.36%	60.99%	64.35%	5.49%